



January 23, 2026

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## SENATE BILL No. 289

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DIGEST OF SB 289 (Updated January 21, 2026 11:02 am - DI 154)

**Citations Affected:** IC 5-13.

**Synopsis:** Public depositories. Provides that if two or fewer financial institutions that have a branch or principal office in a county or in a county contiguous to the county that is located in Indiana are willing to accept public funds, the board of finance for the county may: (1) treat the financial institutions that are located within the county or a county contiguous to the county that is located in Indiana as if the financial institutions were not located within the county or a county contiguous to the county; and (2) designate certain financial institutions to receive public funds. Makes conforming changes.

**Effective:** July 1, 2026.

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**Walker K, Baldwin,  
Randolph Lonnie M**

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January 12, 2026, read first time and referred to Committee on Insurance and Financial Institutions.  
January 22, 2026, amended, reported favorably — Do Pass.

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SB 289—LS 6607/DI 101





January 23, 2026

Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

## SENATE BILL No. 289

A BILL FOR AN ACT to amend the Indiana Code concerning state and local administration.

*Be it enacted by the General Assembly of the State of Indiana:*

- 1 SECTION 1. IC 5-13-8-9, AS AMENDED BY P.L.230-2025,  
2 SECTION 5, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE  
3 JULY 1, 2026]: Sec. 9. (a) All public funds of all political subdivisions  
4 **other than counties** shall be deposited in the designated depositories  
5 located in the respective territorial limits of the political subdivisions,  
6 except as provided in this section.  
7 (b) Each board of finance of a political subdivision:  
8 (1) that is not a city or town; and  
9 (2) whose jurisdiction crosses one (1) or more county lines;  
10 may limit its boundaries for the purpose of this section to that portion  
11 of the political subdivision within the county where its principal office  
12 is located.  
13 (c) **For a political subdivision that is not a county**, if there is no  
14 principal office or branch of a financial institution located in the county  
15 **in which the political subdivision is located** or **in the** political  
16 subdivision, or if no financial institution with a principal office or  
17 branch in the county **in which the political subdivision is located** or

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1 **in the political subdivision will accept public funds under this chapter,**  
 2 **~~the board of finance of the county and~~ the boards of finance of the**  
 3 **political subdivisions in the county shall designate one (1) or more**  
 4 **financial institutions with a principal office or branch outside of the**  
 5 **county or political subdivision, and in the state, as a depository or**  
 6 **depositories. For a county, if there is no principal office or branch**  
 7 **of a financial institution located in the county or in a county**  
 8 **contiguous to the county that is located in Indiana, or if no**  
 9 **financial institution with a principal office or branch in the county**  
 10 **or in a county contiguous to the county that is located in Indiana**  
 11 **will accept public funds under this chapter, the board of finance of**  
 12 **the county shall designate one (1) or more financial institutions in**  
 13 **Indiana with a principal office or branch outside of the county or**  
 14 **outside a county contiguous to the county that is located in Indiana**  
 15 **as a depository or depositories.**

16 (d) The board of trustees for a hospital organized or operated under  
 17 IC 16-22-1 through IC 16-22-5 or IC 16-23-1 may invest any money in  
 18 the hospital fund anywhere in the state with any financial institution  
 19 designated by the state board of finance as depositories for state  
 20 deposits.

21 (e) **This subsection applies to a political subdivision that is not**  
 22 **a county.** If two (2) or fewer financial institutions that have a branch  
 23 or principal office in **a the county or in which the political**  
 24 **subdivision is located or in the** political subdivision are willing to  
 25 accept public funds, the board of finance for the ~~county~~ or political  
 26 subdivision may:

- 27 (1) treat the financial institutions that are located within the
- 28 county or political subdivision as if the financial institutions were
- 29 not located within the county or political subdivision; and
- 30 (2) designate one (1) or more financial institutions to receive
- 31 public funds under the requirements of subsection (c).

32 (f) The investing officer shall maintain the deposits as follows:

- 33 (1) In one (1) or more depositories designated for the political
- 34 subdivision, if the sum of the monthly average balances of all the
- 35 transaction accounts for the political subdivision does not exceed
- 36 one hundred thousand dollars (\$100,000).
- 37 (2) In each depository designated for the political subdivision, if
- 38 subdivision (1) does not apply and fewer than three (3) financial
- 39 institutions are designated by the local board of finance as a
- 40 depository.
- 41 (3) In at least two (2) depositories designated for the political
- 42 subdivision, if subdivision (1) does not apply and at least three (3)



1 financial institutions are designated by the local board of finance  
2 as a depository.

3 (g) Subject to ~~subsections (c) and (e)~~, **subsections (c), (e), and (h)**,  
4 a board of finance of a political subdivision that is not a:

5 **(1)** city;

6 **(2)** town; or

7 **(3)** hospital described in subsection (d);

8 shall invest the public funds of the political subdivision in a designated  
9 depository located anywhere in the county in which the political  
10 subdivision is located. For purposes of this section, the territorial limits  
11 of a political subdivision that is not a city, town, or local hospital  
12 authority or corporation are the territorial limits of the county in which  
13 the principal office of the board of finance is located.

14 **(h) This subsection applies to a county. If two (2) or fewer**  
15 **financial institutions that have a branch or principal office in a**  
16 **county or in a county contiguous to the county that is located in**  
17 **Indiana are willing to accept public funds, the board of finance for**  
18 **the county may:**

19 **(1) treat the financial institutions that are located within the**  
20 **county or a county contiguous to the county that is located in**  
21 **Indiana as if the financial institutions were not located within**  
22 **the county or a county contiguous to the county; and**

23 **(2) designate one (1) or more financial institutions to receive**  
24 **public funds under the requirements of subsection (c).**



## COMMITTEE REPORT

Mr. President: The Senate Committee on Insurance and Financial Institutions, to which was referred Senate Bill No. 289, has had the same under consideration and begs leave to report the same back to the Senate with the recommendation that said bill be AMENDED as follows:

Page 1, delete lines 13 through 17, begin a new paragraph and insert:

**"(c) For a political subdivision that is not a county**, if there is no principal office or branch of a financial institution located in the county **in which the political subdivision is located** or **in the** political subdivision, or if no financial institution with a principal office or branch in the county **in which the political subdivision is located** or **in the** political subdivision will accept public funds under this chapter, ~~the board of finance of the county and~~ the boards of finance of the political subdivisions in the county shall designate one (1) or more financial institutions with a principal office or branch outside of the county or political subdivision, and in the state, as a depository or depositories. **For a county, if there is no principal office or branch of a financial institution located in the county or in a county contiguous to the county that is located in Indiana, or if no financial institution with a principal office or branch in the county or in a county contiguous to the county that is located in Indiana will accept public funds under this chapter, the board of finance of the county shall designate one (1) or more financial institutions in Indiana with a principal office or branch outside of the county or outside a county contiguous to the county that is located in Indiana as a depository or depositories."**

Page 2, delete lines 1 through 3.

Page 2, line 9, after "(e)" insert **"This subsection applies to a political subdivision that is not a county."**

Page 2, line 10, strike "or" and insert **"in which the political subdivision is located or in the"**.

Page 2, line 31, strike "subsections (c) and (e)," and insert **"subsections (c), (e), and (h),"**.

Page 2, delete line 42, begin a new paragraph and insert:

**"(h) This subsection applies to a county. If two (2) or fewer financial institutions that have a branch or principal office in a county or in a county contiguous to the county that is located in Indiana are willing to accept public funds, the board of finance for the county may:**



**(1) treat the financial institutions that are located within the county or a county contiguous to the county that is located in Indiana as if the financial institutions were not located within the county or a county contiguous to the county; and  
(2) designate one (1) or more financial institutions to receive public funds under the requirements of subsection (c)."**

Delete page 3.

and when so amended that said bill do pass.

(Reference is to SB 289 as introduced.)

BALDWIN, Chairperson

Committee Vote: Yeas 7, Nays 1.

